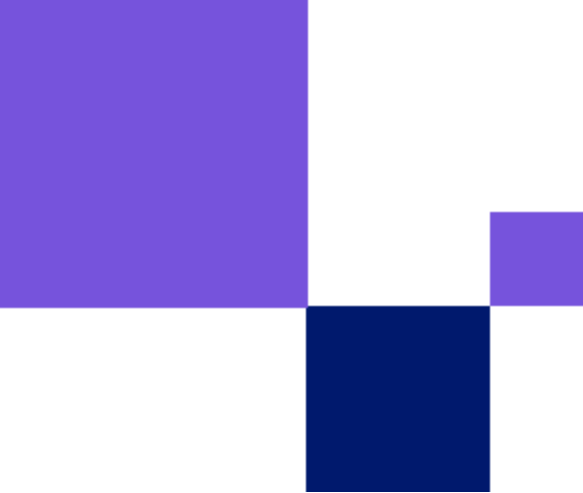
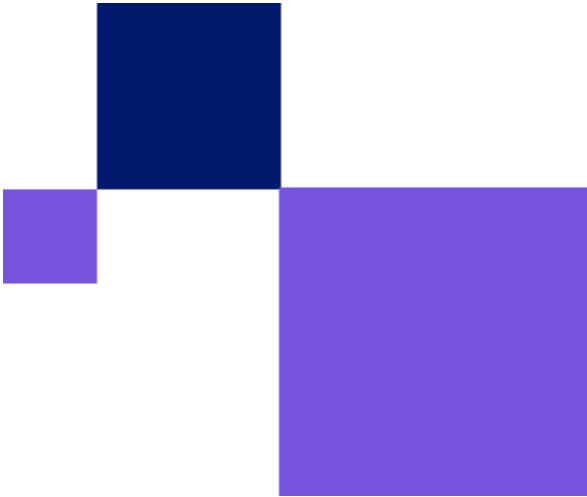




Foundations of Financial Accounting (ACC107)

Lecture 1
Financial Statements & Accounting Equation
(Ch.1, 4 & 7)



Learning outcomes

- Discuss the nature and functions of financial accounting.
- Outline the differences between a company, a sole trader and a partnership.
- Explain the nature of the time period concept, the going concern concept, and the entity concept.
- Describe the accounting equation, including how it is reflected in the statement of financial position.
- Explain the nature of assets, liabilities and capital.

What is accounting ?

Accounting is the process of **recording and categorizing** a company's transactions, and then **communicating** these activities to users.

► Financial Accounting

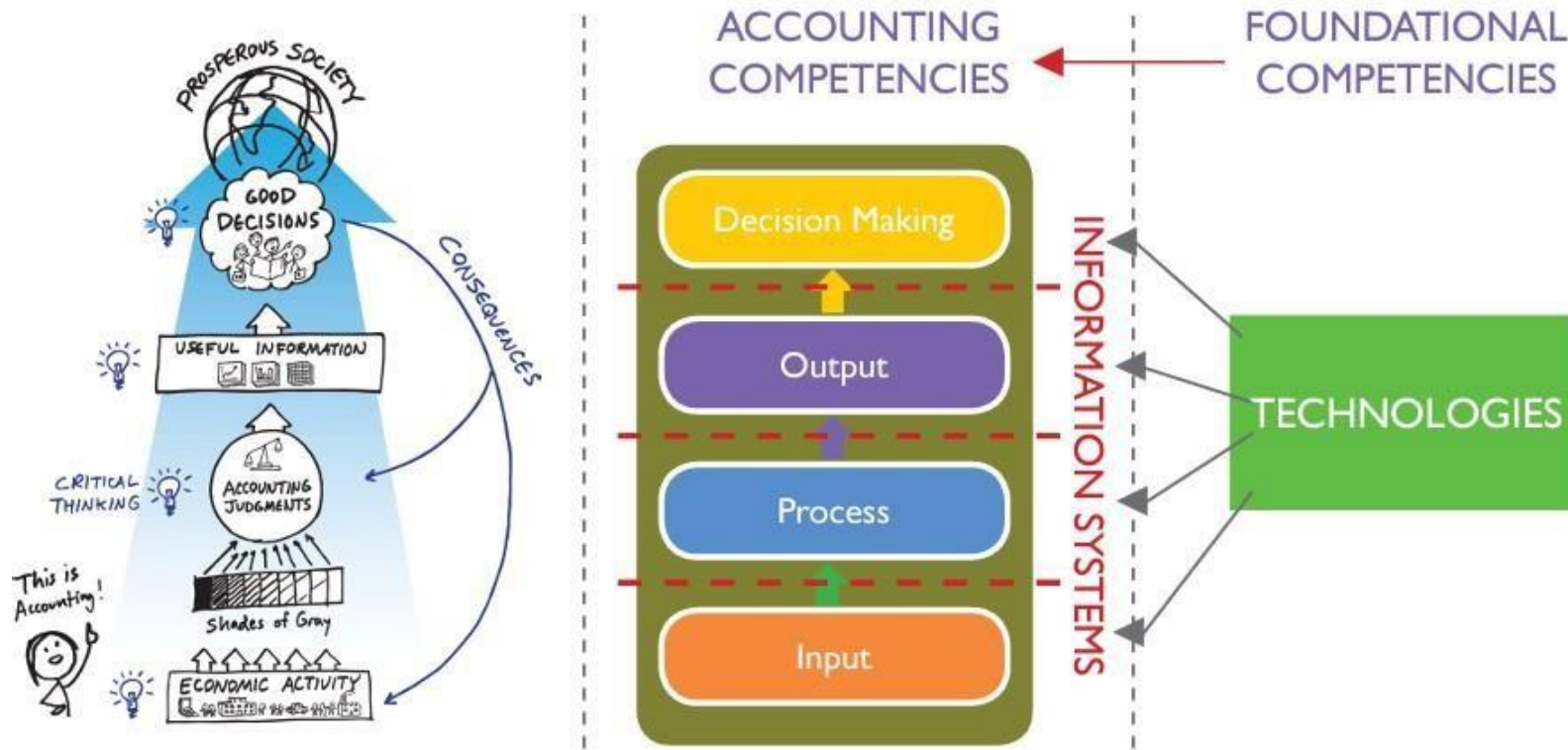
1. Collecting, measuring, and recording an enterprise's transactions (**Bookkeeping system**);
2. Reporting on the results of these transactions to **external stakeholders** to facilitate **making economic decisions**.



► Management Accounting

Concerned with the preparation of reports for **internal management purposes**.

What is accounting ?



- Accounting is not pure science. Instead, it is a **business language** defined by agreement among professionals.
- It evolves as the economy, capital markets and technologies develop.

The objectives of an appropriate accounting system

- ▶ The recording and control of business transactions
- ▶ To maintain accuracy in recording
- ▶ To meet the requirements of the law
- ▶ To present final financial statements to the owners of the business
- ▶ To facilitate the efficient allocation of resources



Types of entity

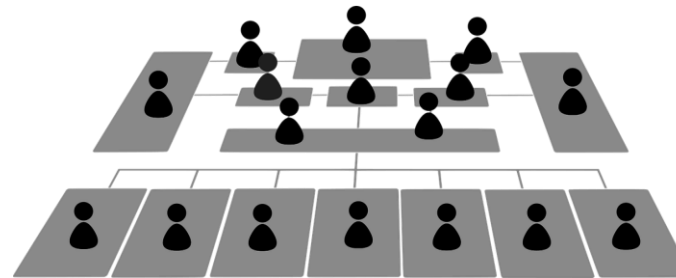
▶ 1. Sole trader



▶ 2. Partnership



▶ 3. Companies



Sole trader

► Definition

One **individual** owns and operates a business.

► Characteristics

The business is **unincorporated**, which means the business is **not seen as legally separate** from the individual. The individual is responsible for the debts of the business (i.e., **unlimited liability**).

The tax expense is the individual's, not the business's.

Partnership

► Definition

The business is owned and operated by two or more individuals.

► Characteristics

A partnership can be incorporated as a limited liability partnership or as an unincorporated business.

If unincorporated the partners are **jointly** responsible for the debts of business and creditors have **claim over their personal assets** if the business cannot pay.

The profits are split between the partners who are **taxed individually on the portion of their profits**. The business does not incur taxation, the partners do.

Companies

► Definition

The business is **incorporated by law** as a separate legal entity.

► Types

The two most common company forms are **Public Limited Companies** and **Private Limited Companies**

- The shares of public limited companies are traded in public stock exchange (listed companies).
- In private limited companies, shares are held privately, usually by a family or a small group of investors.

Companies

► Characteristics

Ownership is assigned by allocation shares. The owners of shares are called **shareholders** or **equity shareholders**.

Responsible for tax on any profits made. The tax is called **corporation tax**.

Shareholders have **limited liability** for the company's debt. Their liability is limited to the amount invested in the company when buying the shares.

Annual reports



Statement of financial performance

► Revenue (收入)

Sales revenue is the gross inflow of economic benefits arising from **ordinary operating activities** (i.e., selling goods and providing services).

When an entity has income from activities that are **not its core business**, such as a retailer receiving interest on its deposit account or selling a vehicle, then this is disclosed separately as '**other income**'.

► Expenses (费用)

Expenses are running costs that a company incurs to generate revenue.

**Staff wages*

**Electricity, heat, and light*

**Rent*

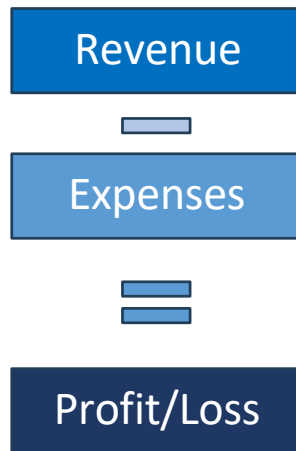
**Financial costs*

...

Statement of financial performance

► Profit or loss (利润或损失)

Profit or loss is the total income made by the entity **less** the total expenses incurred by the entity in the same period.



XYZ plc - Statement of comprehensive Income for year to 31 December 2019

	2019 £000	2018 £000
Revenue	xxx	xxx
Cost of sales	(xxx)	(xxx)
Gross profit	xxx	xxx
Other income	xxx	xxx
Distribution costs	(xxx)	(xxx)
Administrative expenses	(xxx)	(xxx)
Other expenses	(xxx)	(xxx)
Finance costs	(xxx)	(xxx)
Profit before tax	xxx	xxx
Tax expense	(xxx)	(xxx)
PROFIT FOR THE YEAR	xxx	xxx
Other comprehensive income:		
<i>Items that will not be reclassified to profit or loss:</i>		
Gains on property revaluation	xxx	xxx
Investments in equity instruments	xxx	xxx
Tax relating to items that will not be reclassified	(xxx)	(xxx)
Other comprehensive income for the year net of tax	xxx	xxx
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	xxx	xxx

* Other comprehensive income will be introduced in Lecture 9

Thinking

- If Suzhou Ltd.'s profit is £ 100, then is this good result ?
- A. £ 100 for 1 month => Profit of 1 year = £ 1,200.
 - B. £ 100 for 1 day => Profit of 1 year = £ 100* 365 days = £36,500
 - C. £ 100 for 1 second => Profit of 1 year = £ 100* 365 days*24hours*60mins*60sec = £3,153,600,000

** In terms of profit/loss, the time period is important!*

The **statement of financial performance**, also known as the **statement of profit or loss/statement of comprehensive income/income statement**, is a financial statement that summarizes the revenues, costs, expenses, and profits/losses of a company during a specified period.

Statement of financial position

► Assets (资产)

An **asset** can be defined as a tangible or intangible resource that is **owned or controlled** by an accounting entity as a result of past events.

**Cash in hand*

**Money in bank accounts*

**Inventories*

**Receivables*

**Land and buildings*

**Plant, property, and equipment*

**Motor vehicles*

...

Statement of financial position

► Liabilities (负债)

A **liability** can be defined as a **present obligation** of the entity to transfer an economic resource as a result of past events. It represents the amounts **owed** by the entity.

**Trade payables*

**Bank loans*

...

Equity/Capital (权益)

- The ownership interest or claims are called **owners' equity** or **owners' capital**. Equity is the residual interest in the assets of the entity after deducting all its liabilities.

Statement of financial position

Assets

=

Equity/Capital

+

Liabilities

XYZ plc - Statement of financial position as at 31 December 2019

	2019 £000	2018 £000
ASSETS		
Non-current assets		
Property, plant and equipment	xxx	xxx
Intangible assets	xxx	xxx
Investments	xxx	xxx
	<u>xxx</u>	<u>xxx</u>
Current assets		
Inventories	xxx	xxx
Trade receivables	xxx	xxx
Cash and cash equivalents	xxx	xxx
	<u>xxx</u>	<u>xxx</u>
Total assets	<u>xxx</u>	<u>xxx</u>
EQUITY AND LIABILITIES		
Equity		
Share capital	xxx	xxx
Retained earnings	xxx	xxx
Other reserves	xxx	xxx
Total equity	<u>xxx</u>	<u>xxx</u>
Non-current liabilities		
Long-term borrowings	xxx	xxx
Deferred tax	xxx	xxx
Long-term provisions	xxx	xxx
Total non-current liabilities	<u>xxx</u>	<u>xxx</u>
Current liabilities		
Trade and other payables	xxx	xxx
Short-term borrowings	xxx	xxx
Current tax payable	xxx	xxx
Short-term provisions	xxx	xxx
Total current liabilities	<u>xxx</u>	<u>xxx</u>
Total liabilities	<u>xxx</u>	<u>xxx</u>
Total equity and liabilities	<u>xxx</u>	<u>xxx</u>

Thinking

- ▶ If Suzhou company :
 - A. has assets worth £ 100 million **today**.
 - B. had assets worth £ 100 million **at the end of 2000**.
 - C. had assets worth £ 100 million **at the end of 2010**.

** In terms of financial position (Assets, Liability & Equity), **the point in time is important**.*

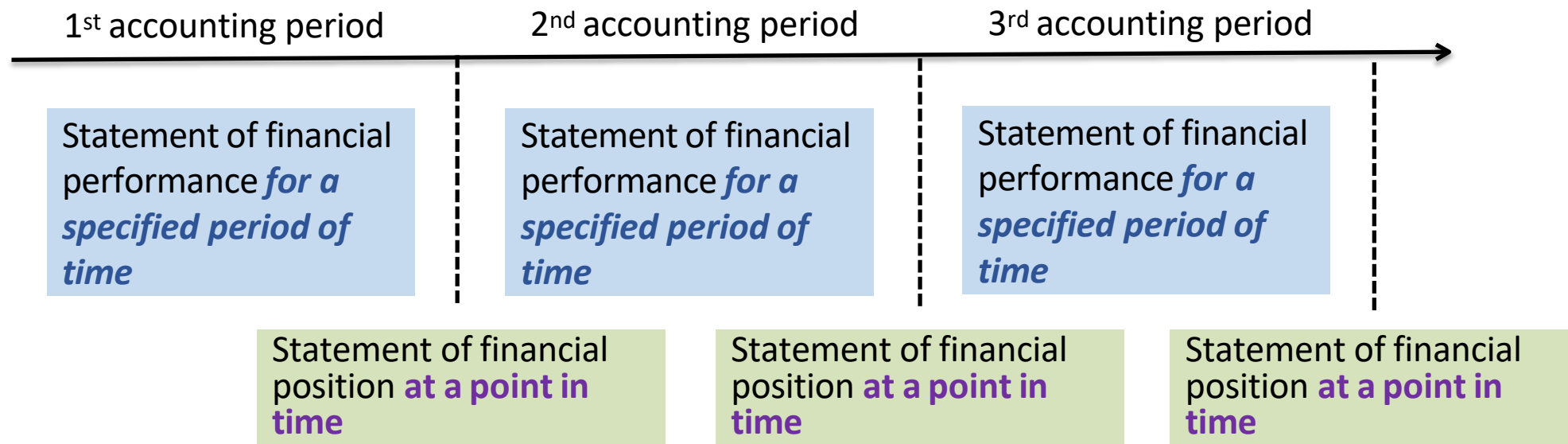
The **statement of financial position**, also known as the **balance sheet**, is a financial statement that reports a company's assets, liabilities, and shareholder equity **at a specific point in time**.

Time period concept

► Time period concept

It is also known as the **time interval** or **periodicity concept**, refers to the practice of dividing the life of an entity into periods for the purpose of preparing financial statements.

The period of time, as required by company law, is usually **one year**. (i.e., **financial year**)



Going concern concept

► Going concern

The **going concern** concept is the assumption that an entity will **continue in operational existence** for the foreseeable future.

Negative trends that lead to no longer being a going concern include **continued losses and lawsuits**.

If an entity is no longer a going concern, it must start reporting certain information on its financial statements.

An **auditor can give a going concern opinion** when they have doubts about the financial longevity of a company. (*see more in Lecture 12*)

Accounting Entity Concept

► Reporting entity

A **reporting entity** is defined in the Conceptual Framework (IASB, 2018) as ‘an entity that is required, or chooses, to prepare financial statements’.

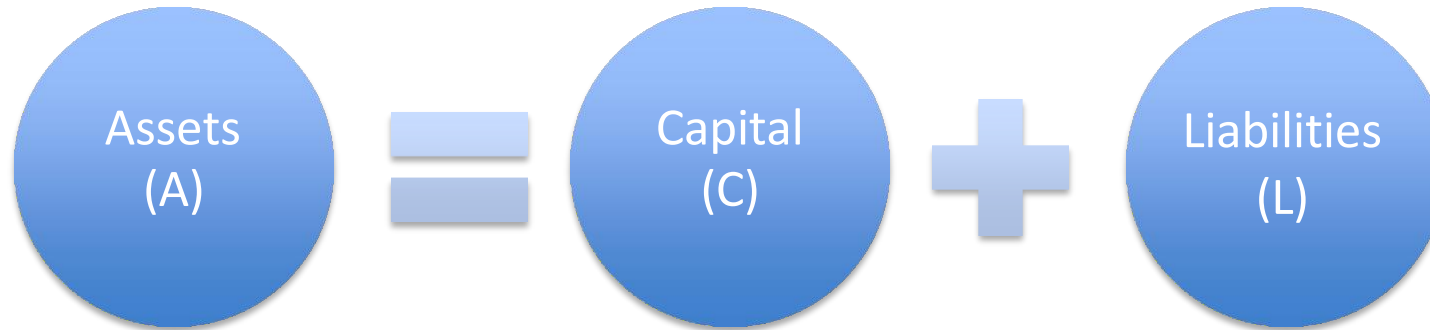
► The entity concept

Boundaries are created to separate out the accounting entity.

Accounting for a reporting entity focuses on setting up a means of recording all accounting information in relation to that entity.

*Therefore, when a sole trader uses the business cheque book to buy a car for **personal use**, this car will **not** form part of the business’s assets; it will be treated as the owner withdrawing equity capital. This is called a ‘**drawing**’.*

Accounting equation



What the business
owns/controls

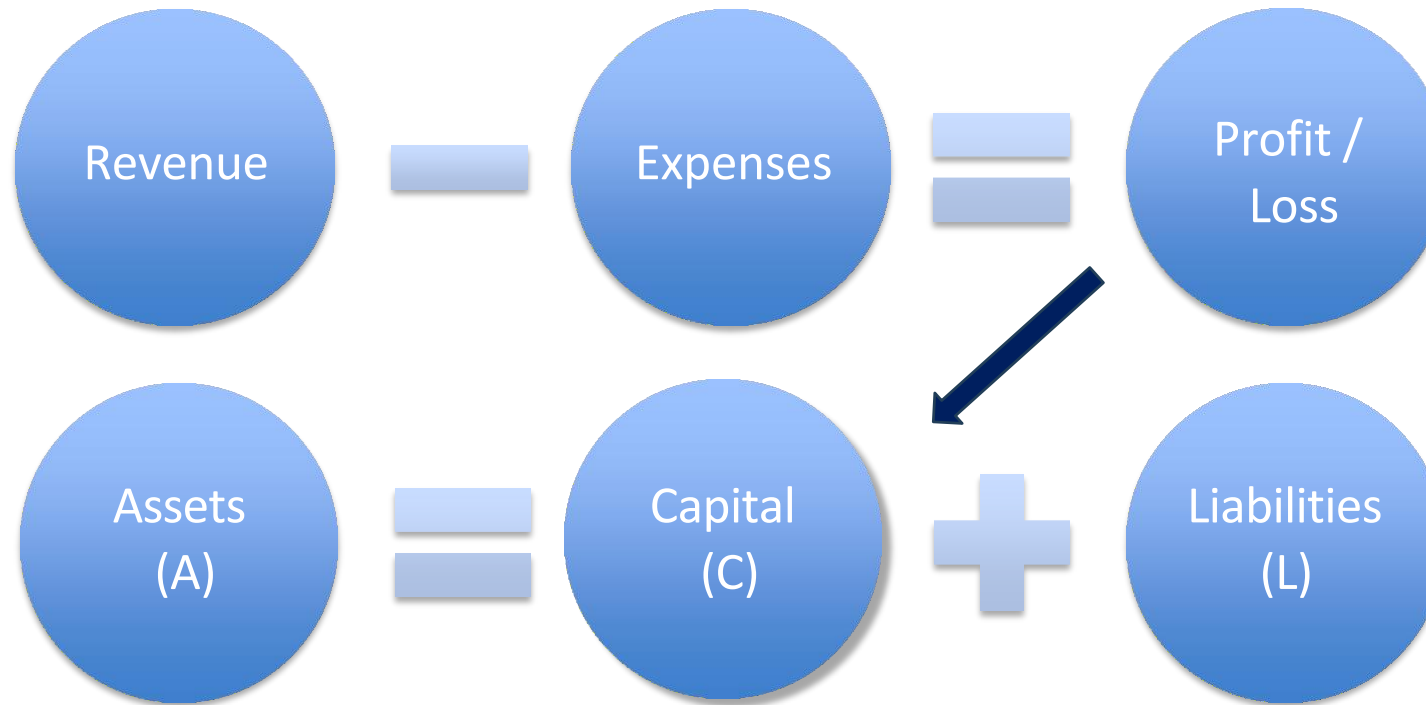
Who provides the
funds



Net resource of business
/ **Net Asset**

Owners' interest
in the business

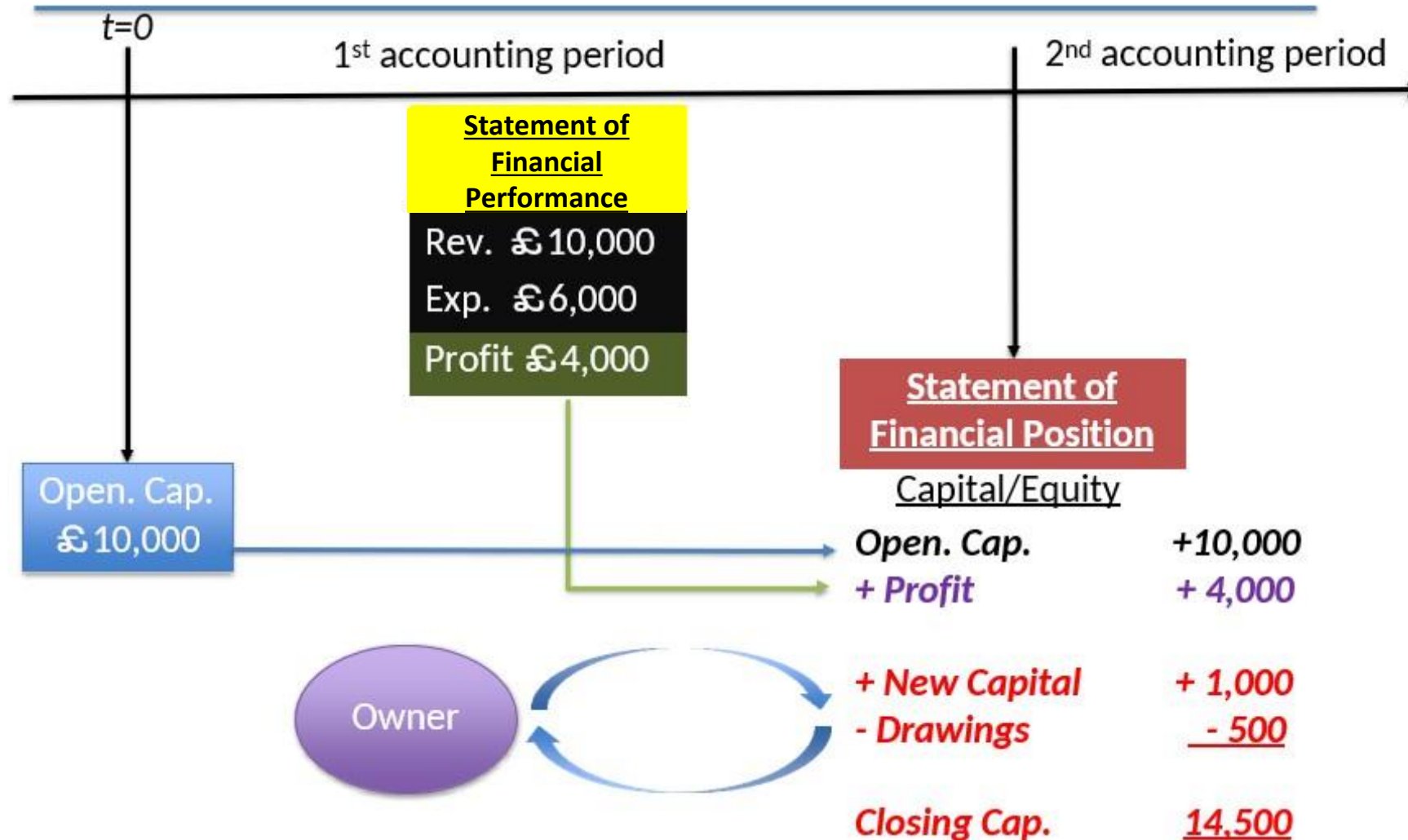
Accounting equation



Closing Capital (CC) = Opening Capital (OC) + New Capital (NC) – Drawings (D) + Profit / - Loss

Closing Assets (CA) = Opening Capital (OC) + New Capital (NC) – Drawings (D) + Revenue (R) – Expenses (E) + Closing Liabilities (CL)

Accounting equation example



Working example

- Adam Bridgewater commenced business on the 1 July 20X8 with £20,000 in cash:

Date	Assets			Capital/ Equity	Liabilities	Total C.+L.
	Equipment	Cash	Total	Opening Capital	Loan	
1 July		20,000	20,000	20,000		20,000

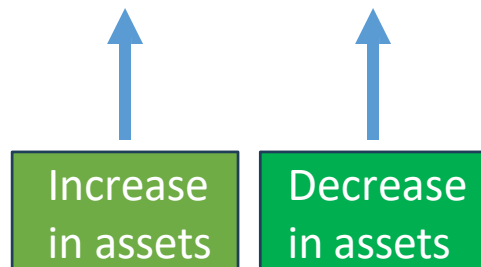


** Check if the Accounting Equation ($A=C+L$) holds: £20,000(A) = £20,000 (C+L)*

Working example

- On 2 July he drew out £8,000 cash and spends it on purchasing equipment for the business:

Date	Assets			Capital/ Equity	Liabilities	Total C.+L.
	Equipment	Cash	Total	Opening Capital	Loan	
1 July		20,000	20,000	20,000		20,000
2 July	8,000	12,000	20,000	20,000		20,000



** No changes in Total Asset*

** Check if the Accounting Equation ($A=C+L$) holds: £20,000(A) = £20,000 (C+L)*

Working example

- On 4 July he took out a loan for £9,000 from the bank.

Date	Assets			Capital/ Equity	Liabilities	Total C.+L.
	Equipment	Cash	Total	Opening Capital	Loan	
1 July		20,000	20,000	20,000		20,000
2 July	8,000	12,000	20,000	20,000		20,000
4 July	8,000	21,000	29,000	20,000	9,000	29,000



Increase in assets



Increase in liabilities

* Check if the Accounting Equation ($A=C+L$) holds: £29,000(A) = £29,000 (C+L)

Working example

* On 5 July he paid the heat and light of the business £500 in cash:

Date	Assets			Capital/ Equity					Liabilities	Total C.+L.
	Equipment	Cash	Total	Opening Capital	+ NC	- Drawing	+ Revenue	- Expense	Loan	
1 July		20,000	20,000	20,000						20,000
2 July	8,000	12,000	20,000	20,000						20,000
4 July	8,000	21,000	29,000	20,000					9,000	29,000
5 July	8,000	20,500	28,500	20,000				500	9,000	28,500



Decrease in assets



Increase in expenses

* Check if the Accounting Equation ($A=C+L$) holds: £28,500(A) = £28,500 (C+L)

Working example

* On 6 July he withdrew £400 from the business bank account to pay for the electricity of his own apartment:

Date	Assets			Capital/ Equity					Liabilities	Total C.+L.
	Equipment	Cash	Total	Opening Capital	+ NC	- Drawing	+ Revenue	- Expense	Loan	
1 July		20,000	20,000	20,000						20,000
2 July	8,000	12,000	20,000	20,000						20,000
4 July	8,000	21,000	29,000	20,000					9,000	29,000
5 July	8,000	20,500	28,500	20,000				500	9,000	28,500
6 July	8,000	20,100	28,100	20,000		400		500	9,000	28,100



Decrease in assets



Decrease in capital

* Check if the Accounting Equation ($A=C+L$) holds: £28,100(A) = £28,100 (C+L)

How to calculate profits?

The profit (or loss) for any given accounting period can be measured using either:

► A dynamic approach

Profit (or Loss) = Revenue - Expenses

► A comparative static

Recall the equation:

Closing Capital (CC) = Opening Capital (OC) + New Capital (NC) – Drawings (D)
+ Profit / - Loss

Rewrite:

Profit / Loss = Closing Capital (CC) - Opening Capital (OC) - New Capital (NC) + Drawings (D)

Have a try

* Using the second approach – determine the profit made by ABC in the year to 31 December 20X0

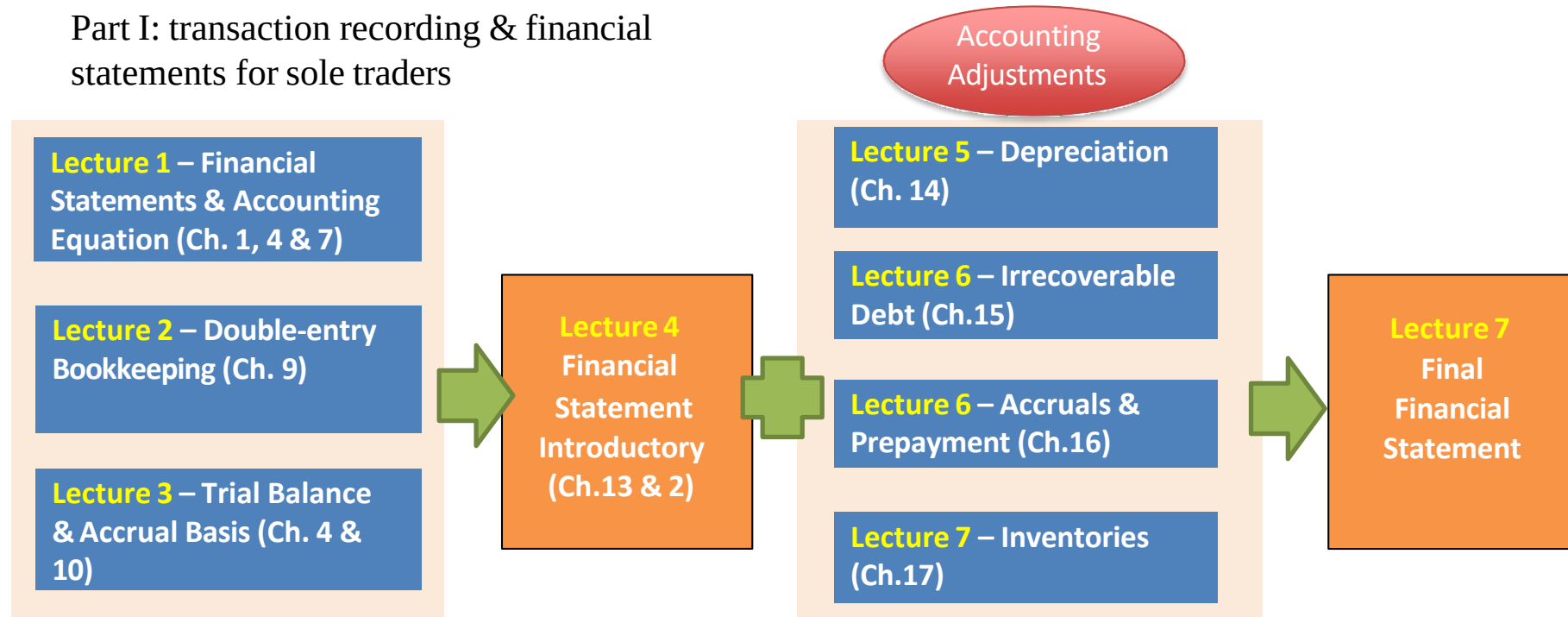
- Opening capital (£20,000)
- Closing capital (capital at year end) (£30,000)
- Drawing (£4,000) and new capital introduced (£3,000) during the period

* ***What is the profit for the year?***

- **Profit** = CC - OC – NC + D
= £30,000 - £20,000 - £3,000 + £4,000
= £11,000

What will we learn?

Part I: transaction recording & financial statements for sole traders



Part II: Other accounting topics

Lecture 8
Bank
Reconciliation
(Ch.19)

Lecture 9
Limited
Companies
(Ch.26 & 27)

Lecture 10
Statement of
Cash Flow
(Ch.28)

Lecture 11
Ratio
Analysis
(Ch.29)

Lecture 12
Audit (Ch.6)

Homework

- ▶ Good review of the content of this lecture
- ▶ Attempt tutorial questions on time

Thanks for your listening

